



Apple Group Project

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Executive Summary

- ❑ Maintained financial stability
- ❑ Strategically positioned as a market leader in tech as a result of product differentiation, desirability and innovation
- ❑ Financial ratios indicate efficiency in increasing profits

Company Overview

Mission: “To Create Technology that empowers people and enriches their lives.”

Vision: “To make the best products on earth, and to leave the world better than we found it.”

Markets: Americas, Europe, Middle East, Africa, Asia-Pacific

Core Values:

- ❑ Accessibility
- ❑ Education Support
- ❑ A Planet-Size Goal
- ❑ We are all in
- ❑ Privacy is also a human right
- ❑ Racial justice and equity
- ❑ Supplier Responsibility

Industry Overview

- Operates in the consumer and technology industry
- Focused on design aesthetics, ecosystem integration, customer-centric
- Targets middle and upper-class with a premium-pricing and user-exclusivity marketing tactic

Strategic Position

“To bring the best user experience to customers through innovative hardware, software, and services.”

Innovation



- Strong brand image and reputation

Product Differentiation



- Vertical integration within products
- “Better quality than competitors”

Product Desirability



- Premium-price marketing
- Freemium marketing

User Experience

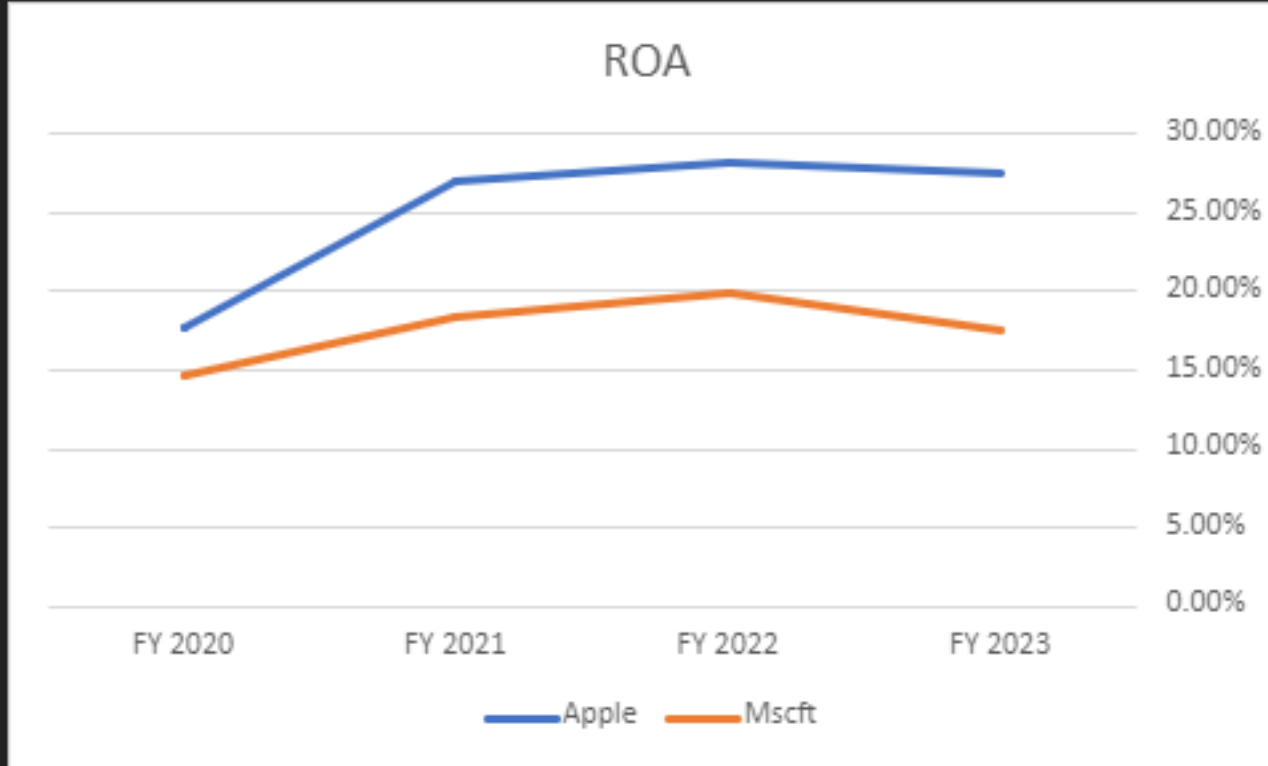


- User friendly
- Easily integratable

Financial Strength and Performance

Overall Operational Efficiency

Return on Assets

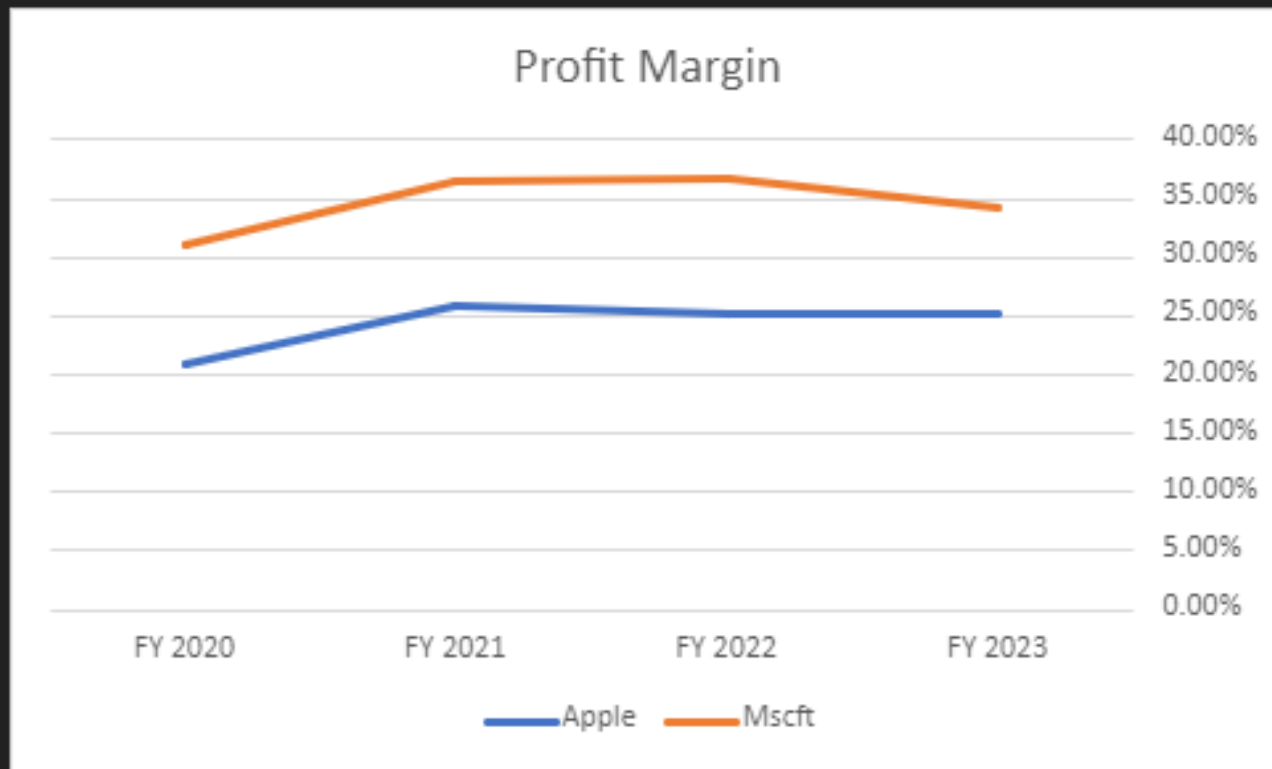


- Apple outperforms

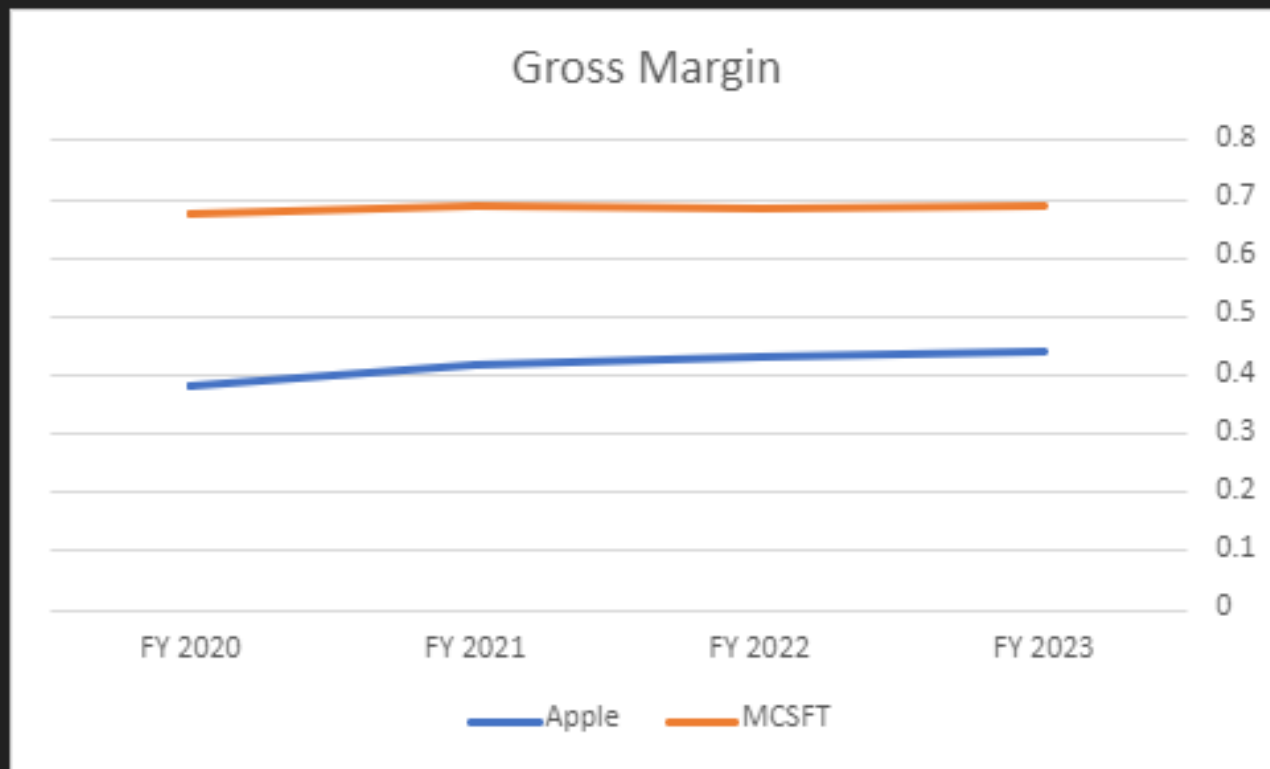
Profitability Ratios

- Microsoft outperforms

Profit Margin



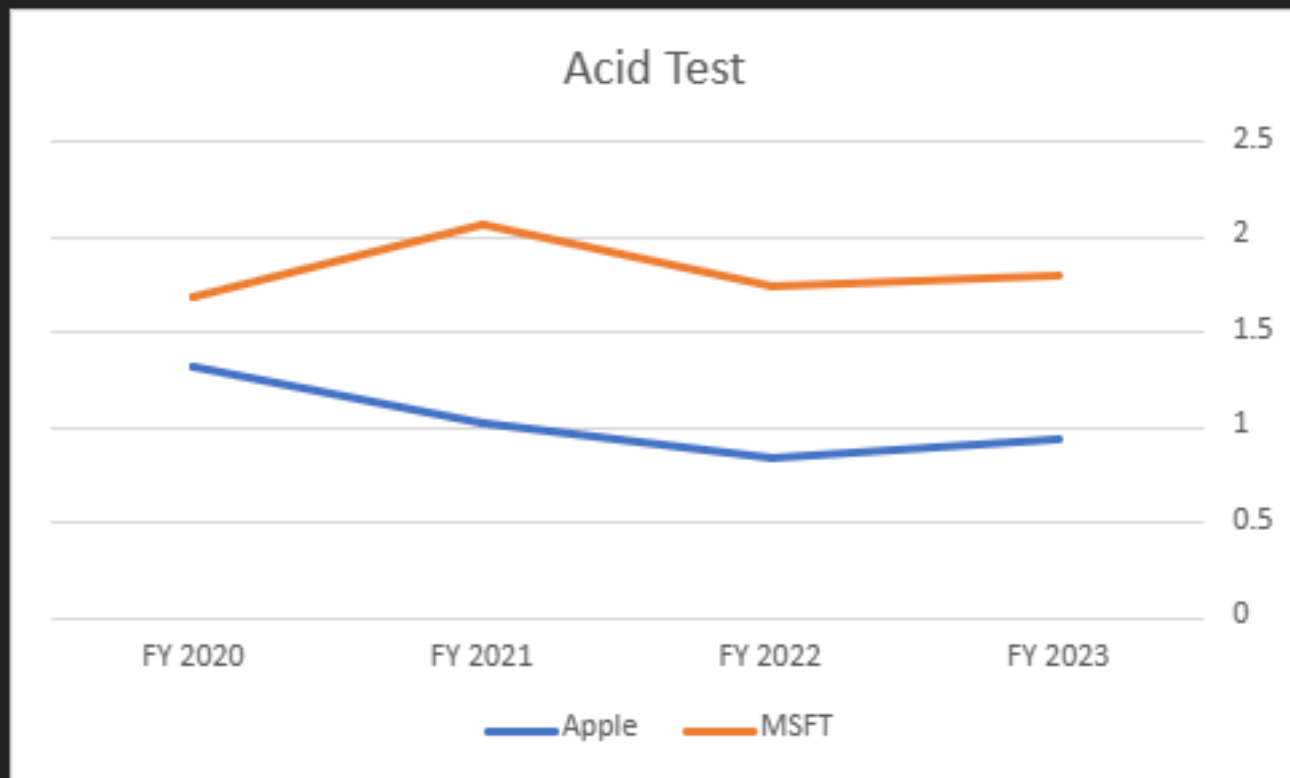
Gross Margin



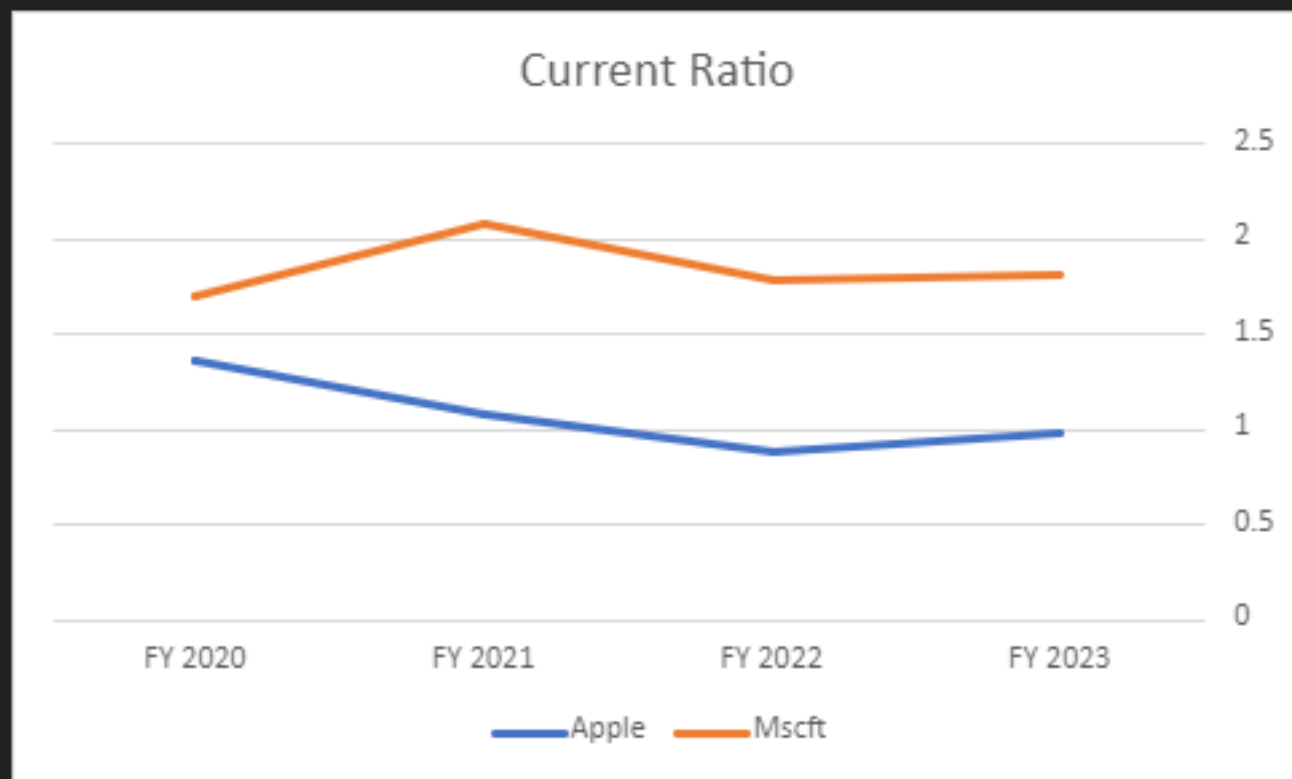
Firm's Liquidity

- MSFT outperforms

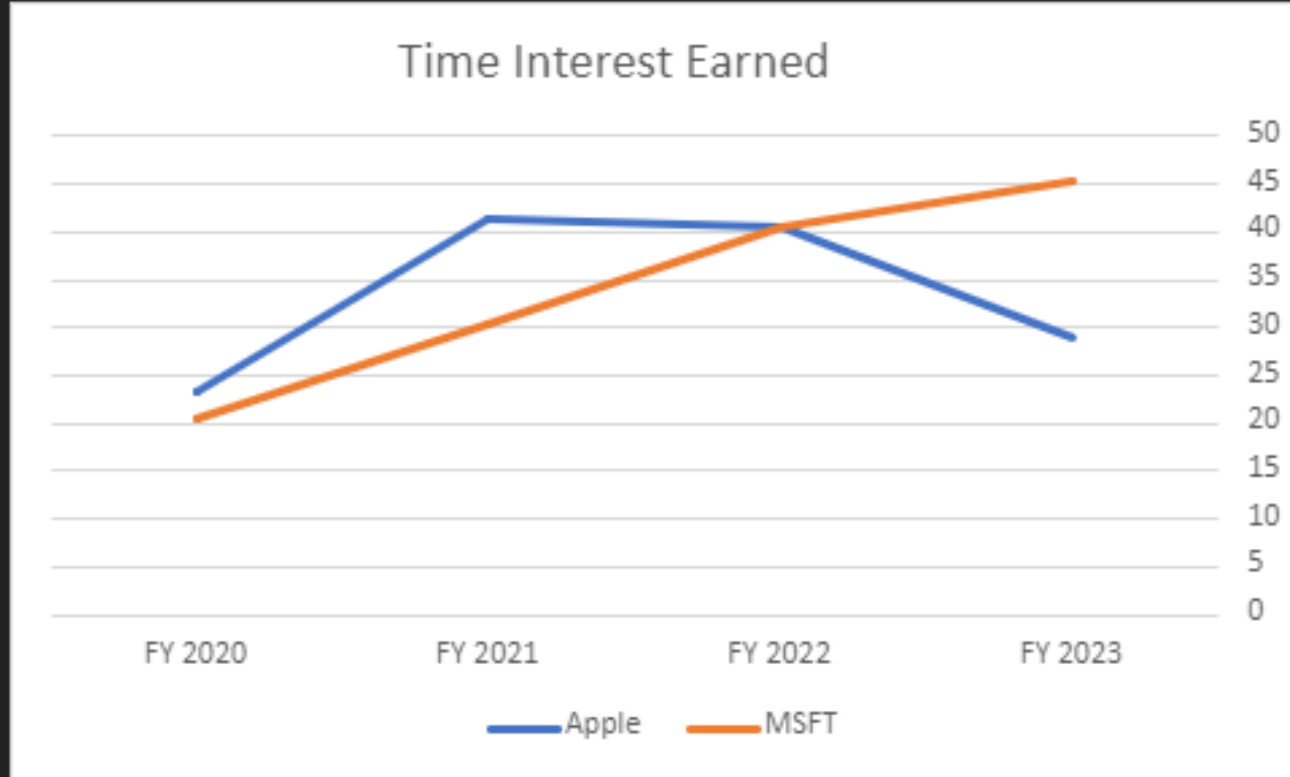
Acid Test Ratio



Current Ratio



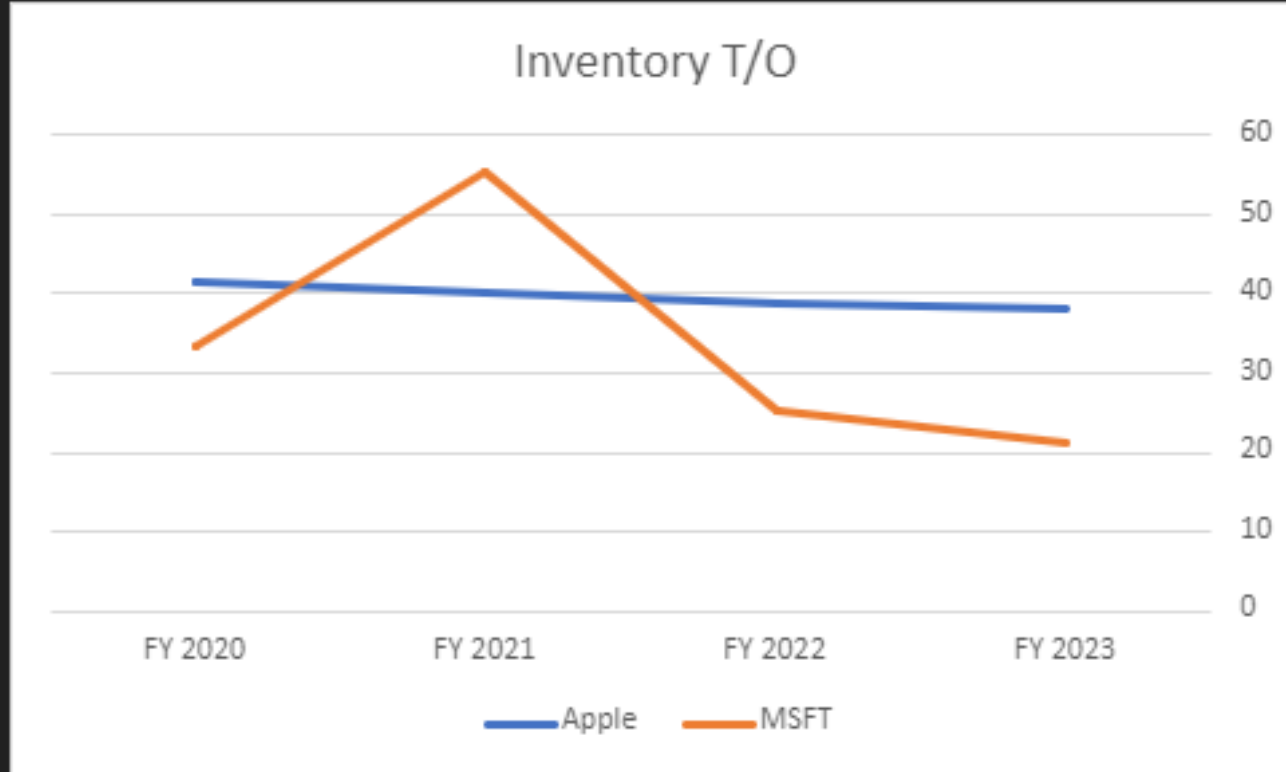
Time Interest Earned



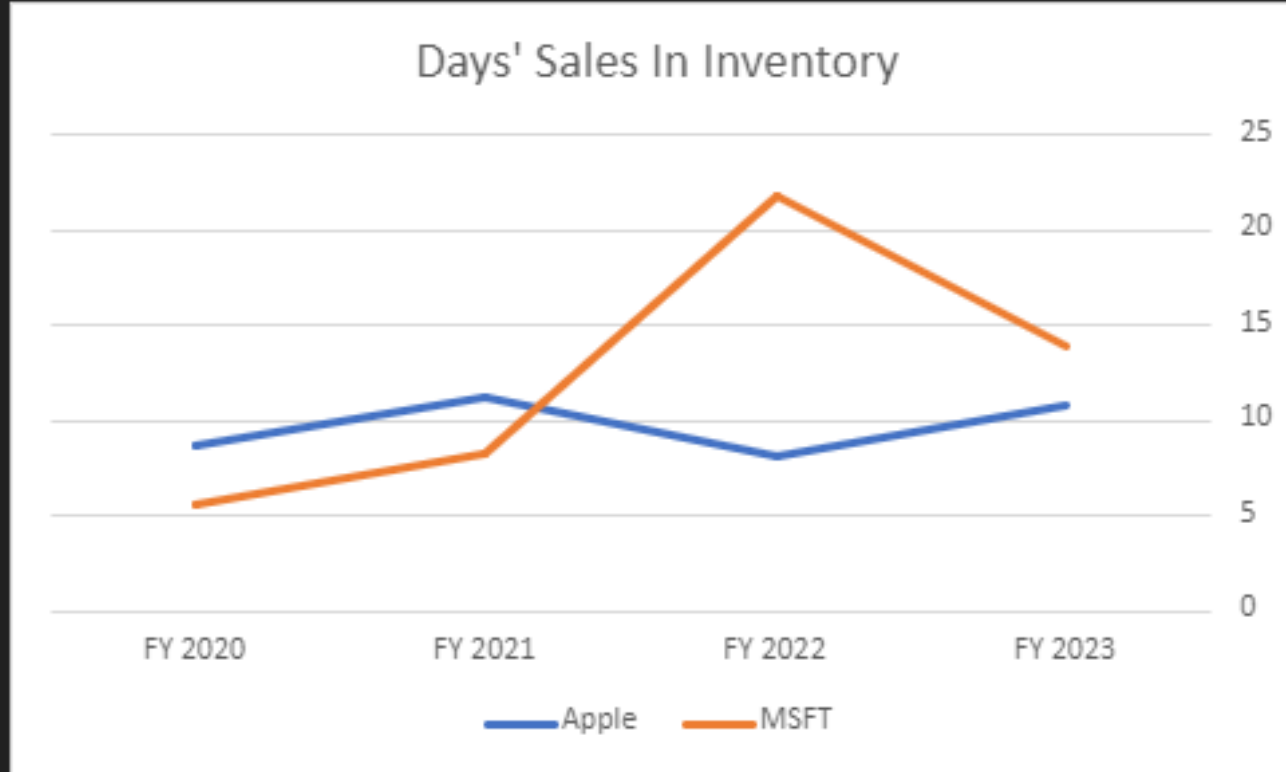
Operating Efficiency

- Apple is more efficient than MSFT
- Bottlenecks, inflation, and other setbacks did not inhibit Apple from outperforming in this area.
- Great management.
- Apple is leaner.
- MSFT, due to their amazing profitability, is more sluggish.

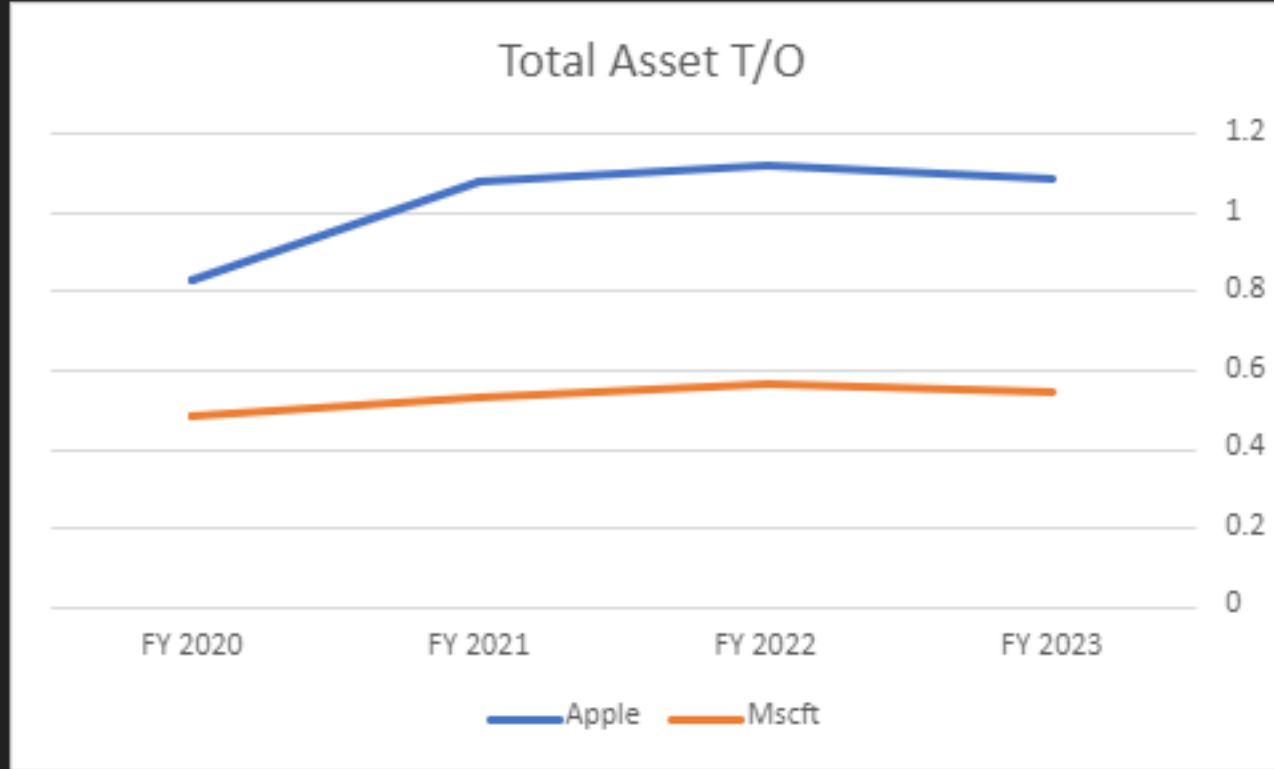
Inventory Turnover



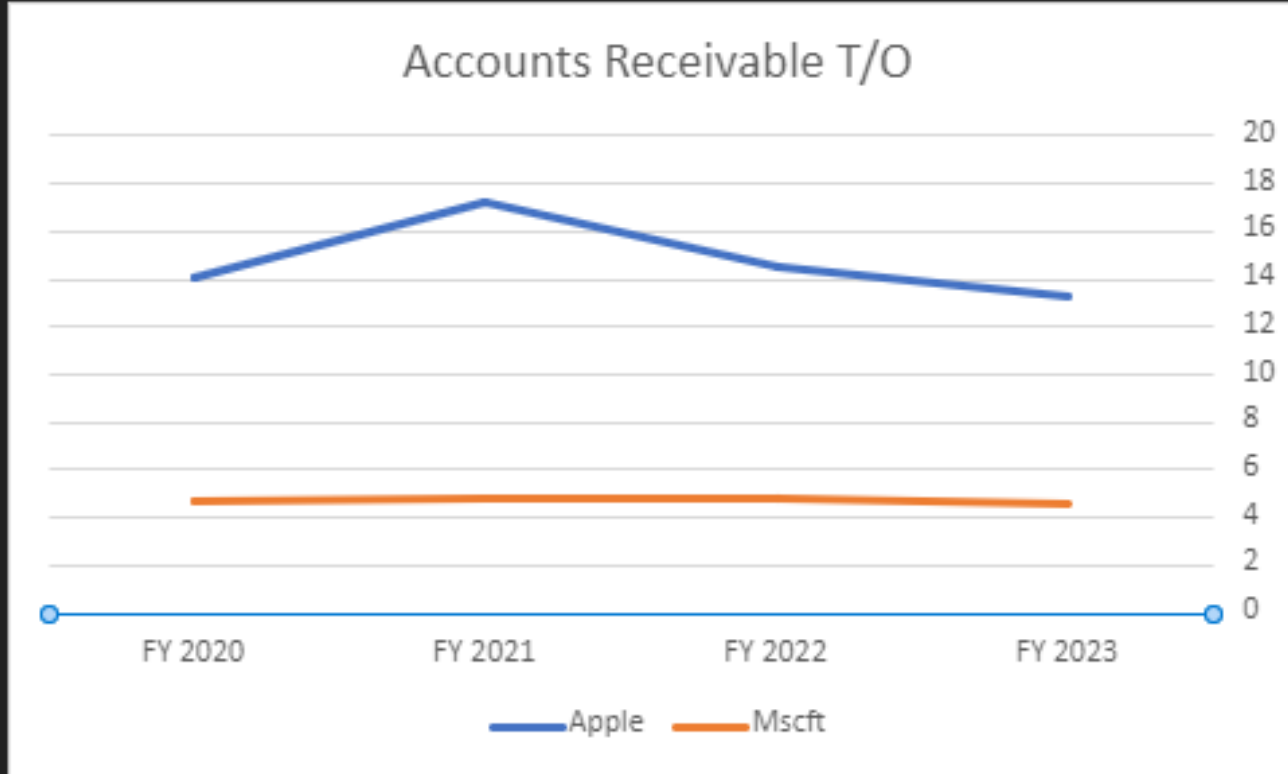
Days' Sales in Inventory



Total Asset Turnover



Accounts Receivable Turnover

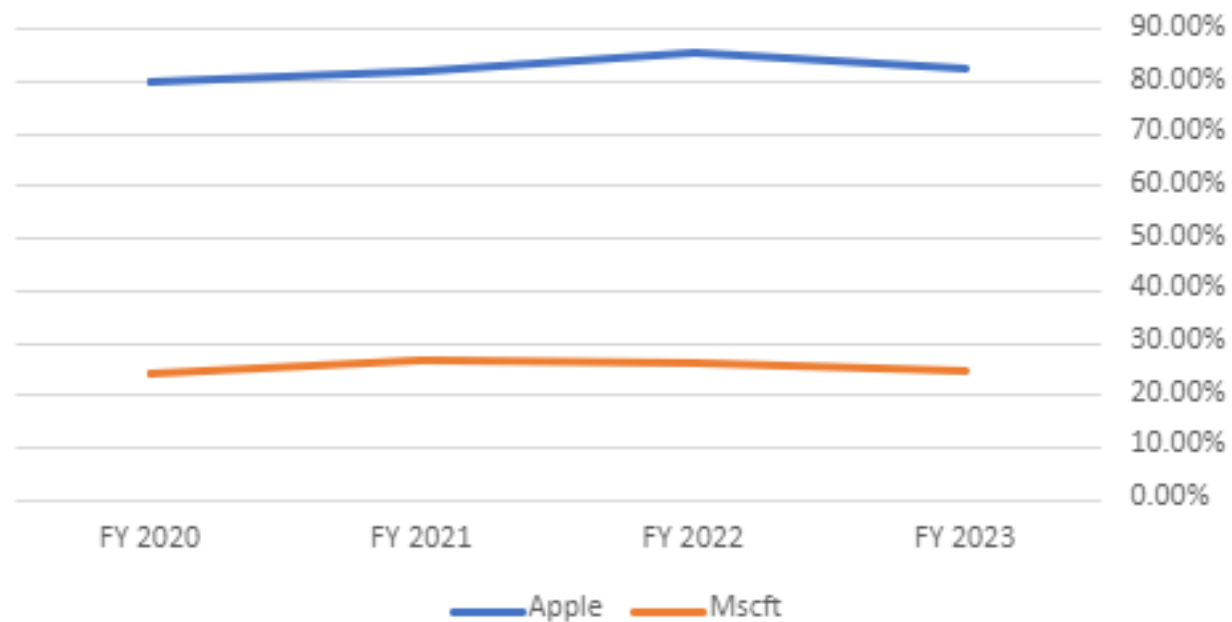


Financial Leverage & Risk

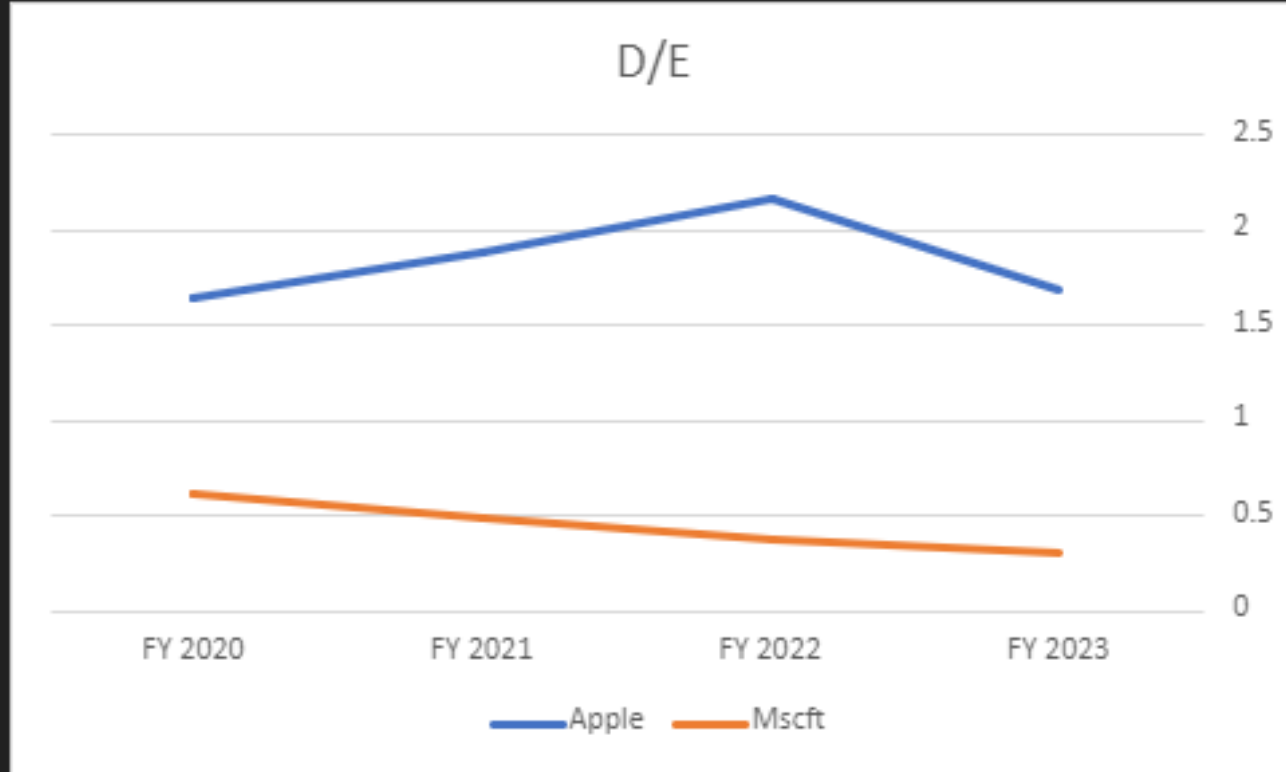
- Apple is pretty levered up.
- MSFT is less financially risky.
- Apple has high financial leverage, this is good for equity holders during a boom and bad on downtrend like right now.

Debt Ratio

Debt Ratio



Debt to Equity Ratio



Conclusion

- Apple shows great management according to many ratios, being the less profitable business it has a higher ROA.
- Microsoft is Extremely profitable and has a better chance in achieving a higher Profit Margin in the future.
- Apple Debt ratio and DE can become an issue if sales drop.
- Apple has higher financial leverage and risk.
- Microsoft is so profitable it is able to finance itself internally.
- Bottom line is the Apple is a more disciplined company because it needs to be.